North Dakota Financial Guide

A comprehensive educational resource exploring individual income taxation, property valuation frameworks, sales tax mechanisms, and regional economic benchmarks specific to the state of North Dakota.

Financial Questions & Answers

Q1: What is the structural framework of the individual income tax system in North Dakota?

A1: North Dakota features a highly simplified two-bracket individual income tax framework with a top marginal ceiling capped at just 2.50%, making it one of the lowest income tax jurisdictions in the United States.

Q2: How are local property and real estate assessments calculated and limited for primary residences?

A2: Property valuations are determined based on a statutory formula where true and full value is multiplied by a 4.5% residential assessment factor to find the taxable value. Local school districts, cities, and counties then apply localized mill levies to this amount.

Q3: What are the general rules governing sales, use, and excise taxes, and are essentials exempted?

A3: The default state sales and use tax rate is 5.00%. Municipalities can add local options up to an aggregate maximum. Unprepared retail food items (groceries) and prescription drugs are completely exempted from taxation.

Q4: How does the state treat retirement income, pension distributions, and capital gains for tax purposes?

A4: The state completely exempts all qualifying Social Security retirement benefits from the individual income tax base. Other retirement vehicles are taxed under the standard flat brackets, but long-term capital gains receive a generous 40% statutory state income exclusion.

Q5: What unique state-level entity regulations or asset protection laws impact personal financial planning?

A5: North Dakota maintains unique corporate farming laws and a state-owned bank (the Bank of North Dakota), which provides specialized financing programs that lower agricultural lending costs and shape regional commercial financing.

Appendix: Cost of Living (COL) Index

This index measures the local cost of maintaining a standard of living relative to a national baseline average score of 100.0.

Economic Metric	State Value / Index Score	National Baseline
Composite Cost of Living Index	93.8	100.0
Housing Cost Metric	86.5	100.0
Income Tax Structure	0.00% - 2.50% Low Progressive	Varies by State